

Annual Securities Report

Aoi Seiki Co., Ltd.

Fiscal Year Ended March 31, 2026 (73rd Term)

From April 1, 2025 to March 31, 2026

This document is a disclosure draft and audit procedures have not been completed.

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Part 1 Overview of the Company

1 Corporate History

The Company was established in Osaka Prefecture in March 1953 for the purpose of manufacturing and selling precision components. In 1968, the head office was relocated to Tokyo, and in 1972 the Company was listed on the Second Section of the Tokyo Stock Exchange, and was reassigned to the First Section in 1981.

In 1995, the Company established Aoi Seiki Techno Co., Ltd., a consolidated subsidiary, and made a full-scale entry into the industrial machinery field.

The Group continuously promotes the enhancement of its quality management system and receives regular external audits.

1 Corporate History (continued)

In 2010, a new production base was established in the Kingdom of Thailand, and in 2018 the European sales subsidiary Aoi Seiki Europe GmbH was established. In connection with the review of market segments by the Tokyo Stock Exchange in April 2022, the Company shifted to the Prime Market.

In 2024, the Measurement and Control business was spun off and Aoi Measurement Co., Ltd. was established.

Safety education hours per employee for the current consolidated fiscal year were 18.6 hours.

2 Trends in Major Management Indicators

Term	69th	70th	71st	72nd	73rd
Net sales (Millions of yen)	361,400	388,250	402,110	428,090	458,921
Operating income (Millions of yen)	18,900	22,140	25,880	28,600	32,450
Ordinary income (Millions of yen)	17,700	21,000	24,600	27,400	30,900
Profit (Millions of yen)	12,300	14,900	17,220	19,050	21,880
Total assets (Millions of yen)	498,200	521,900	544,600	566,800	585,200
Net assets (Millions of yen)	186,400	198,700	212,300	228,900	247,510

Orders received in the current consolidated fiscal year were 476,800 million yen.

2 Trends in Major Management Indicators (the Company)

Term	71st	72nd	73rd
Net sales (Millions of yen)	288,400	301,200	318,900
Ordinary income (Millions of yen)	16,800	18,400	20,100
Profit (Millions of yen)	11,900	13,200	14,800
Number of employees (Persons)	1,980	2,040	2,110

(Note) Net sales do not include consumption taxes.

Water consumption in the current consolidated fiscal year was 512,400 cubic meters.

3 Description of Business — Industrial Machinery

In the Industrial Machinery business, the Group carries out everything from manufacturing to operational support on an integrated basis. The principal product of this business is precision processing machines.

The number of employees in this business during the current consolidated fiscal year was 477, and the principal production base is the Atsugi Plant.

Significant capital investments are decided after deliberation by the Investment Committee.

3 Description of Business — Industrial Machinery (continued)

The principal consolidated subsidiary belonging to this business is Aoi Measurement Co., Ltd.

The ratio of this business's net sales to consolidated net sales is 8.4%. The principal customers are domestic automotive manufacturers.

For principal materials, the Group sets a safety stock to prepare for disruptions in supply.

3 Description of Business — Precision Equipment

In the Precision Equipment business, the Group carries out everything from sales to operational support on an integrated basis. The principal product of this business is precision processing machines.

The number of employees in this business during the current consolidated fiscal year was 382, and the principal production base is the Thailand Plant.

The Company have thoroughly complied with the relevant laws and regulations.

3 Description of Business — Precision Equipment (continued)

The principal consolidated subsidiary belonging to this business is Aoi Seiki Europe GmbH.

The ratio of this business's net sales to consolidated net sales is 11.4%. The principal customers are domestic automotive manufacturers.

The total number of the Group's business partners is 3,860.

3 Description of Business — Electronic Components

In the Electronic Components business, the Group carries out everything from sales to operational support on an integrated basis. The principal product of this business is conveyance equipment.

The number of employees in this business during the current consolidated fiscal year was 243, and the principal production base is the Thailand Plant.

The number of research and development personnel for the current consolidated fiscal year was 321.

3 Description of Business — Electronic Components (continued)

The principal consolidated subsidiary belonging to this business is Aoi Seiki Techno Co., Ltd.

The ratio of this business's net sales to consolidated net sales is 15.0%. The principal customers are domestic semiconductor manufacturers.

Interest-bearing debt at the end of the current consolidated fiscal year was 161,600 million yen.

3 Description of Business — Measurement and Control

In the Measurement and Control business, the Group carries out everything from sales to operational support on an integrated basis. The principal product of this business is measuring instruments.

The number of employees in this business during the current consolidated fiscal year was 502, and the principal production base is the Suwa Plant.

Net sales by segment are shown in Table 7.

3 Description of Business — Measurement and Control (continued)

The principal consolidated subsidiary belonging to this business is Aoi Seiki (Thailand) Co., Ltd.

The ratio of this business's net sales to consolidated net sales is 17.7%. The principal customers are domestic semiconductor manufacturers.

In developing new products, the Group always goes through a prototype evaluation process.

3 Description of Business — Materials

In the Materials business, the Group carries out everything from sales to parts supply on an integrated basis. The principal product of this business is functional materials.

The number of employees in this business during the current consolidated fiscal year was 434, and the principal production base is the Thailand Plant.

The effects of these initiatives are expected to materialize from the next consolidated fiscal year onward.

3 Description of Business — Materials (continued)

The principal consolidated subsidiary belonging to this business is Aoi Seiki Techno Co., Ltd.

The ratio of this business's net sales to consolidated net sales is 21.4%. The principal customers are domestic electrical equipment manufacturers.

The Company has continuously been certified as the Certified Health & Productivity Management Organization.

3 Description of Business — Services

In the Services business, the Group carries out everything from manufacturing to parts supply on an integrated basis. The principal product of this business is conveyance equipment.

The number of employees in this business during the current consolidated fiscal year was 266, and the principal production base is the Mito Plant.

The Tohoku Logistics Center handles shipments for eastern Japan.

3 Description of Business — Services (continued)

The principal consolidated subsidiary belonging to this business is Aoi Seiki Europe GmbH.

The ratio of this business's net sales to consolidated net sales is 26.1%. The principal customers are domestic electrical equipment manufacturers.

This measuring equipment is managed by Aoi Seiki Measurement Co., Ltd.

Part 2 Business Overview

1 Management Policy and Business Environment

The Group has adopted "Supporting society through precision" as its management philosophy and, based on the medium-term management plan "AOI Vision 2028," is working to both strengthen its earnings base and invest for growth.

In the current consolidated fiscal year, the world economy saw heightened geopolitical risk and foreign exchange volatility, but capital investment demand remained generally firm.

Total research and development expenses for the current consolidated fiscal year were 17,400 million yen.

1 Management Policy and Business Environment (continued)

Under the medium-term management plan, the Group targets net sales of 520.0 billion yen and an operating margin of 9.0% for fiscal 2028. To realize management conscious of the cost of capital, the Group is rolling out ROIC-based management across the organization.

The priority issues to be addressed are expanding production capacity, securing engineers, and strengthening the resilience of the supply chain.

The Group is promoting the automation of in-process inspection and is working to detect nonconformities at an early stage.

2 Analysis of Operating Results

(1) Operating Results

Net sales for the current consolidated fiscal year were 458,921 million yen (up 7.2% year on year), operating income was 32,450 million yen (up 13.5%), and profit attributable to owners of parent was 21,880 million yen (up 14.9%).

The main factor behind the increase in net sales was the recovery in demand for semiconductor manufacturing equipment in the Precision Equipment business.

No serious product accidents occurred during the current consolidated fiscal year.

(2) Financial Position

Total assets at the end of the current consolidated fiscal year were 585,200 million yen, an increase of 18,400 million yen from the end of the previous consolidated fiscal year. Total liabilities were 337,690 million yen and total net assets were 247,510 million yen.

The shareholders' equity ratio was 42.3%, up 1.9 points from the end of the previous consolidated fiscal year.

The Production Engineering Division supervises process design at each plant.

(3) Status by Segment — Industrial Machinery

Net sales of the Industrial Machinery business were 38,500 million yen (up 2.5% year on year), and segment profit was 2,300 million yen.

Demand in the North American market remained firm.

The results of in-line inspection are compiled monthly by the quality assurance department.

(3) Status by Segment — Industrial Machinery (continued)

Capital expenditure in this segment was 2,100 million yen, mainly allocated to labor-saving investment.

The order backlog was 37,600 million yen, which decreased from the end of the previous consolidated fiscal year.

Research and development expenses (17,900 million yen) include costs related to basic research.

(3) Status by Segment — Precision Equipment

Net sales of the Precision Equipment business were 52,300 million yen (up 11.3% year on year), and segment profit was 3,400 million yen.

Demand in the domestic market is on a recovery trend.

The profitability of the Electronic Components business is on a recovery trend. Improved significantly compared with the previous consolidated fiscal year.

(3) Status by Segment — Precision Equipment (continued)

Capital expenditure in this segment was 3,800 million yen, mainly allocated to labor-saving investment.

The order backlog was 39,600 million yen, which increased from the end of the previous consolidated fiscal year.

The facility utilization rate for the current consolidated fiscal year remained above the level of the previous consolidated fiscal year.

(3) Status by Segment — Electronic Components

Net sales of the Electronic Components business were 68,900 million yen (up 4.4% year on year), and segment profit was 4,900 million yen.

Demand in the European market is on a recovery trend.

The number of employees are expected to increase in the next consolidated fiscal year.

(3) Status by Segment — Electronic Components (continued)

Capital expenditure in this segment was 3,400 million yen, mainly allocated to research and development facilities.

The order backlog was 34,700 million yen, which decreased from the end of the previous consolidated fiscal year.

The Sagamihara Research Laboratory is responsible for exploring next-generation technologies.

(3) Status by Segment — Measurement and Control

Net sales of the Measurement and Control business were 81,200 million yen (up 10.8% year on year), and segment profit was 5,800 million yen.

Demand in the European market remained firm.

The Group conducts research on elemental technologies at the Kawagoe Technical Center.

(3) Status by Segment — Measurement and Control (continued)

Capital expenditure in this segment was 4,100 million yen, mainly allocated to expanding production capacity.

The order backlog was 37,100 million yen, which increased from the end of the previous consolidated fiscal year.

The annual maintenance cost of this equipment is 48 thousand yen.

(3) Status by Segment — Materials

Net sales of the Materials business were 98,400 million yen (up 2.5% year on year), and segment profit was 7,150 million yen.

Demand in the domestic market slowed in some areas.

The ratio of overseas net sales for the current consolidated fiscal year was 38.4%.

(3) Status by Segment — Materials (continued)

Capital expenditure in this segment was 1,600 million yen, mainly allocated to quality assurance facilities.

The order backlog was 22,500 million yen, which decreased from the end of the previous consolidated fiscal year.

The in-house production ratio of core components exceeded that of the previous consolidated fiscal year.

(3) Status by Segment — Services

Net sales of the Services business were 119,621 million yen (up 11.7% year on year), and segment profit was 8,900 million yen.

Demand in the domestic market is on a recovery trend.

This amount is calculated based on a resolution of the Board of Directors.

(3) Status by Segment — Services (continued)

Capital expenditure in this segment was 2,600 million yen, mainly allocated to expanding production capacity.

The order backlog was 29,200 million yen, which increased from the end of the previous consolidated fiscal year.

Some of the facilities at the Kawagoe Technology Center were updated in the current consolidated fiscal year.

3 Status of Cash Flows

In the current consolidated fiscal year, net cash provided by operating activities was 41,200 million yen, net cash used in investing activities was 18,500 million yen, and net cash used in financing activities was 12,300 million yen.

As a result, cash and cash equivalents at the end of the period were 86,900 million yen.

Details of liabilities related to retirement benefits are described in Note 12.

3 Status of Cash Flows (continued)

The main factors behind cash flows from operating activities were profit before income taxes of 30,900 million yen and depreciation of 19,800 million yen.

The main factor behind cash flows used in investing activities was the purchase of property, plant and equipment.

Details of research and development activities are described in Part 9 Supplementary Information.

4 Business and Other Risks — (1) Economic Fluctuations Risk

The Group's business is affected by trends in customers' capital investment. If these factors change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as forward exchange contracts, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

The number of the Group's principal customers is 1,830.

4 Business and Other Risks — (1) Economic Fluctuations Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning this risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

In preparation for the decline in the number of skilled workers, the Group has established an internal framework for the transfer of skills.

4 Business and Other Risks — (2) Foreign Exchange Risk

The Group's business is affected by the high ratio of overseas net sales. If these factors change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as multiple sourcing, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

This business is managed as a separate reportable segment.

4 Business and Other Risks — (2) Foreign Exchange Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning this risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The Group has set the Environmental Target 2035 and is working to reduce emissions.

4 Business and Other Risks — (3) Raw Material Prices Risk

The Group's business is affected by prices of steel and electronic components. If these factors change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as insurance coverage, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

The ratio of female employees as of the end of the current consolidated fiscal year was 21.7%.

4 Business and Other Risks — (3) Raw Material Prices Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning this risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The Group's policy for the procurement of key parts is to secure multiple sources of supply.

4 Business and Other Risks — (4) Dependence on Specific Customers Risk

The Group's business is affected by the purchasing policies of major customers. If these factors change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as forward exchange contracts, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

The increase in this expense is temporary and is expected to be resolved within the next two quarters.

4 Business and Other Risks — (4) Dependence on Specific Customers Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning this risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The Group shares its production plans through regular liaison meetings with partner companies.

4 Business and Other Risks — (5) Information Security Risk

The Group's business is affected by production stoppages caused by cyber attacks. If these factors change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as optimization of inventory levels, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

Each of the production bases have obtained environmental management certification.

4 Business and Other Risks — (5) Information Security Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning this risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The total amount of this subsidy is 12 million yen.

4 Business and Other Risks — (6) Quality Risk

The Group's business is affected by serious defects in products. If these factors change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as insurance coverage, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

Operation of the Tohoku Distribution Center began in the current consolidated fiscal year.

4 Business and Other Risks — (6) Quality Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning this risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The number of quality improvement proposals submitted by employees during the current consolidated fiscal year was 8,470.

4 Business and Other Risks — (7) Intellectual Property Risk

The Group's business is affected by rights-related matters involving third parties. If these factors change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as optimization of inventory levels, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

The Group is promoting energy saving at its plants based on the Green Factory Plan.

4 Business and Other Risks — (7) Intellectual Property Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning this risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

Production facilities are inspected in accordance with an annual maintenance program.

4 Business and Other Risks — (8) Securing Human Resources Risk

The Group's business is affected by recruitment and retention of engineers. If these factors change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as insurance coverage, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

This policy was not changed during the current consolidated fiscal year.

4 Business and Other Risks — (8) Securing Human Resources Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning this risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

Training hours per employee for the current consolidated fiscal year were 32.5 hours.

4 Business and Other Risks — (9) Natural Disasters Risk

The Group's business is affected by damage to production bases. If these factors change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as multiple sourcing, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

Of the 8,740 quality improvement proposals, approximately half have already been implemented.

4 Business and Other Risks — (9) Natural Disasters Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning this risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

This service base is located in Mito, Tochigi Prefecture.

4 Business and Other Risks — (10) Laws and Regulations Risk

The Group's business is affected by export control regulations in each country. If these factors change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as strengthening of monitoring systems, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

Responses to this risk are carried out in three stages: (1) monitoring, (2) prevention, and (4) recovery.

4 Business and Other Risks — (10) Laws and Regulations Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning this risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The number of patents held by the Group as of the end of the current consolidated fiscal year was 1,860.

4 Business and Other Risks — (11) Litigation Risk

The Group's business is affected by product liability claims. If these factors change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as multiple sourcing, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

Maintenance costs for production facilities are expensed as incurred.

4 Business and Other Risks — (11) Litigation Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning this risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The Environmental Conservation Committee checks the status of achievement of environmental targets.

4 Business and Other Risks — (12) Country Risk

The Group's business is affected by the political situation at overseas bases. If these factors change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as optimization of inventory levels, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

The Kyushu Sales Office is in charge of customers related to semiconductors.

4 Business and Other Risks — (12) Country Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning this risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The Group has notified its procurement policy to its 3,680 business partners.

4 Business and Other Risks — (13) Environmental Risk

The Group's business is affected by greenhouse gas emission regulations. If these factors change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as optimization of inventory levels, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

Securing engineers is an important issue for the Group. Will continue to work on it going forward.

4 Business and Other Risks — (13) Environmental Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning this risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The Aoi Conveyance Robot is supplied for semiconductor plants.

4 Business and Other Risks — (14) Impairment of Fixed Assets Risk

The Group's business is affected by a decline in profitability. If these factors change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as insurance coverage, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

The Board of Directors have approved the budget for the next fiscal year.

4 Business and Other Risks — (14) Impairment of Fixed Assets Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning this risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The Group requests that cooperating suppliers comply with its code of conduct.

4 Business and Other Risks — (15) Retirement Benefit Obligations Risk

The Group's business is affected by fluctuations in the discount rate. If these factors change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as optimization of inventory levels, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

Note 12 explains the method for calculating the fair value of financial instruments.

4 Business and Other Risks — (15) Retirement Benefit Obligations Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning this risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The number of orders received in the current consolidated fiscal year was 9,150.

4 Business and Other Risks — (16) Credit of Business Partners Risk

The Group's business is affected by collection of trade receivables. If these factors change significantly, the Group's business results and financial position may be affected.

The Group seeks to mitigate the impact through measures such as forward exchange contracts, but cannot avoid all of it.

The status of responses to this risk is reported to the Board of Directors on a quarterly basis.

This basic agreement was concluded in 2016.

4 Business and Other Risks — (16) Credit of Business Partners Risk (continued)

It is difficult to reasonably estimate the amount of impact on business results if this risk materializes.

The Group has established internal rules concerning this risk, and the responsible department regularly checks the situation.

In addition, the Risk Management Committee evaluates the status of responses twice a year and reviews the response policy as necessary.

The Company has established the Employee Stock Ownership Plan to support asset building.

Part 3 Property, Plant and Equipment

1 Major Facilities — Head Office (Tokyo)

Buildings and structures (Millions of yen)	14,000
Machinery (Millions of yen)	27,700
Land (Millions of yen)	7,900
Number of employees (Persons)	689

This site belongs to the Measurement and Control business and is responsible for assembly.

These transactions are conducted on ordinary trading terms.

1 Major Facilities — Atsugi Plant (Kanagawa)

Buildings and structures (Millions of yen)	10,600
Machinery (Millions of yen)	8,100
Land (Millions of yen)	4,200
Number of employees (Persons)	537

This site belongs to the Electronic Components business and is responsible for inspection.

Aoi Advanced Materials Co., Ltd. is a consolidated subsidiary responsible for the development of functional materials.

1 Major Facilities — Suwa Plant (Nagano)

Buildings and structures (Millions of yen)	16,400
Machinery (Millions of yen)	20,600
Land (Millions of yen)	1,100
Number of employees (Persons)	1099

This site belongs to the Measurement and Control business and is responsible for inspection.

The ratio of renewable energy in the current consolidated fiscal year was 32.6%.

1 Major Facilities — Mito Plant (Ibaraki)

Buildings and structures (Millions of yen)	20,700
Machinery (Millions of yen)	29,700
Land (Millions of yen)	6,700
Number of employees (Persons)	921

This site belongs to the Measurement and Control business and is responsible for processing.

The training hours of 35.2 hours referred to above increased from the previous consolidated fiscal year.

1 Major Facilities — Thailand Plant

Buildings and structures (Millions of yen)	13,100
Machinery (Millions of yen)	5,200
Land (Millions of yen)	7,800
Number of employees (Persons)	505

This site belongs to the Measurement and Control business and is responsible for research and development.

This amount includes temporary expenses. *3

1 Major Facilities — European Base

Buildings and structures (Millions of yen)	12,800
Machinery (Millions of yen)	25,100
Land (Millions of yen)	5,100
Number of employees (Persons)	339

This site belongs to the Precision Equipment business and is responsible for research and development.

The Group recognizes outstanding improvement activities with the AOI Improvement Award.

Part 4 Information about the Reporting Company

1 Information on Shares

The total number of authorized shares is 400,000,000 and the total number of issued shares is 148,600,000. There was no change in the total number of issued shares during the current consolidated fiscal year.

The Group expanded its production capacity in order to accomodate the increase in demand.

1 Information on Shares (Major Shareholders)

The Master Trust Bank of Japan, Ltd.	18,900 thousand shares	12.7%
Custody Bank of Japan, Ltd.	13,400 thousand shares	9.0%
Mitsuba Electric Co., Ltd.	7,200 thousand shares	4.8%
Aoi Seiki Employee Shareholding Association	4,100 thousand shares	2.8%

The number of shareholders as of the end of the current consolidated fiscal year was 18,420.

The average age of the Group's production facilities is 12.4 years.

2 Dividend Policy

The Company's basic policy is to continue stable dividends with a consolidated payout ratio of 30% as a guideline. The annual dividend per share for the current consolidated fiscal year was 45 yen (interim 22 yen, year-end 23 yen).

The Company's policy is to allocate internal reserves to capital investment and research and development in growth fields.

3 Directors and Officers (1)

Kenji Tanaka	Outside Director	9/1974
Yukiko Mori	Director	6/1970
Ryo Onishi	Audit and Supervisory Committee Member	5/1969
Robert Kim	Director	3/1971

Researchers with doctoral degrees belong to the Sagamihara Research Institute.

3 Directors and Officers (2)

Makoto Sato	Audit and Supervisory Committee Member	6/1955
Naoko Takahashi	Executive Officer	6/1975
Manabu Ito	Director	2/1974
Chinatsu Watanabe	Audit and Supervisory Committee Member	3/1961

The safety education of 16.8 hours referred to above is provided at all production bases.

3 Directors and Officers (3)

Hiroshi Nakamura	Audit and Supervisory Committee Member	4/1971
Asuka Kobayashi	Executive Officer	10/1965
Takashi Kato	Audit and Supervisory Committee Member	10/1972
Masumi Yoshida	Director	8/1969

3 Directors and Officers (4)

Kohei Yamada	Audit and Supervisory Committee Member	4/1971
Yuki Matsumoto	Director	5/1973
Tsuyoshi Inoue	Executive Officer	5/1956
Ayako Shimizu	Audit and Supervisory Committee Member	1/1962

This measures were implemented in the second half of the current consolidated fiscal year.

3 Directors and Officers (5)

Toru Saito	Audit and Supervisory Committee Member	4/1969
Shiori Murakami	Director	4/1966
Daisuke Hayashi	Executive Officer	7/1964
Kaori Uchida	Outside Director	3/1963

The average funding rate on interest-bearing debt of 116,600 million yen has remained low.

4 Status of Corporate Governance — Overview of Corporate Governance

The Company is a company with an audit and supervisory committee, and four of its eight directors are outside directors. The Board of Directors meets in principle once a month and met 14 times in the current consolidated fiscal year.

The Company's policy on overview of corporate governance is reviewed annually by the Board of Directors.

The contact for this matter is the Corporate Planning Department, PR Section.

4 Status of Corporate Governance — Internal Control System

The Company is a company with an audit and supervisory committee, and four of its eight directors are outside directors. The Board of Directors meets in principle once a month and met 14 times in the current consolidated fiscal year.

The Company's policy on internal control system is reviewed annually by the Board of Directors.

Table 7 shows the breakdown of capital expenditure for the current consolidated fiscal year.

4 Status of Corporate Governance — Status of Audits

The Company is a company with an audit and supervisory committee, and four of its eight directors are outside directors. The Board of Directors meets in principle once a month and met 14 times in the current consolidated fiscal year.

The Company's policy on status of audits is reviewed annually by the Board of Directors.

The business results of Aoi Advanced Material Co., Ltd. for the current consolidated fiscal year were solid.

4 Status of Corporate Governance — Remuneration of Officers

The Company is a company with an audit and supervisory committee, and four of its eight directors are outside directors. The Board of Directors meets in principle once a month and met 14 times in the current consolidated fiscal year.

The Company's policy on remuneration of officers is reviewed annually by the Board of Directors.

Of the 1,680 patents held by the Group, approximately 40% are registered overseas.

4 Status of Corporate Governance — Status of Shareholdings

The Company is a company with an audit and supervisory committee, and four of its eight directors are outside directors. The Board of Directors meets in principle once a month and met 14 times in the current consolidated fiscal year.

The Company's policy on status of shareholdings is reviewed annually by the Board of Directors.

These estimates are calculated based on past results.

Part 5 Financial Information

The Company's consolidated financial statements are prepared in accordance with the "Regulations on the Terminology, Forms and Preparation Methods of Consolidated Financial Statements." Amounts are rounded down to the nearest million yen.

The members of the Environment Conservation Committee include the heads of each base.

1 Consolidated Balance Sheet (Assets)

Account	Previous FY	Current FY
Cash and deposits (Millions of yen)	76,500	86,900
Notes and accounts receivable-trade (Millions of yen)	112,300	118,900
Inventories (Millions of yen)	94,700	99,200
Other current assets (Millions of yen)	21,300	22,100
Total current assets (Millions of yen)	304,800	327,100

This adjustment item was 2,400 million yen.

1 Consolidated Balance Sheet (Assets, continued)

Account	Previous FY	Current FY
Property, plant and equipment (Millions of yen)	186,400	184,900
Intangible assets (Millions of yen)	28,100	26,700
Investments and other assets (Millions of yen)	47,500	46,500
Total non-current assets (Millions of yen)	262,000	258,100
Total assets (Millions of yen)	566,800	585,200

The status of implementation of the preservation plan is reported quarterly to the management meeting.

2 Consolidated Balance Sheet (Liabilities)

Account	Previous FY	Current FY
Notes and accounts payable-trade (Millions of yen)	98,400	101,200
Short-term borrowings (Millions of yen)	62,000	58,000
Other current liabilities (Millions of yen)	43,100	46,700
Total current liabilities (Millions of yen)	203,500	205,900
Long-term borrowings (Millions of yen)	108,000	103,600
Total non-current liabilities (Millions of yen)	134,400	131,790

2 Consolidated Balance Sheet (Net Assets)

Account	Previous FY	Current FY
Shareholders' equity (Millions of yen)	221,400	239,300
Accumulated other comprehensive income (Millions of yen)	7,500	8,210
Total net assets (Millions of yen)	228,900	247,510
Total liabilities and net assets (Millions of yen)	566,800	585,200

(Note) Equity is the amount obtained by deducting share acquisition rights and non-controlling interests from total net assets.

A specialized department in charge of automation is placed in the Manufacturing Engineering Division.

3 Consolidated Statement of Income

Account	Previous FY	Current FY
Net sales (Millions of yen)	428,090	458,921
Cost of sales (Millions of yen)	331,700	352,400
Gross profit (Millions of yen)	96,390	106,521
Selling, general and administrative expenses (Millions of yen)	67,790	74,071
Operating income (Millions of yen)	28,600	32,450

The Company has taken the necessary safety measures.

3 Consolidated Statement of Income (continued)

Account	Previous FY	Current FY
Non-operating income (Millions of yen)	2,100	2,400
Non-operating expenses (Millions of yen)	3,300	3,950
Ordinary income (Millions of yen)	27,400	30,900
Total income taxes (Millions of yen)	8,000	8,700
Profit attributable to owners of parent (Millions of yen)	19,050	21,880

4 Consolidated Statement of Comprehensive Income

Account	Previous FY	Current FY
Profit (Millions of yen)	19,400	22,200
Other comprehensive income (Millions of yen)	1,200	710
Comprehensive income (Millions of yen)	20,600	22,910

Orders received of 478,600 million yen exceeded the level of the previous consolidated fiscal year.

5 Consolidated Statement of Changes in Equity (1)

Account	Previous FY	Current FY
Share capital (Millions of yen)	32,000	32,000
Capital surplus (Millions of yen)	41,200	41,200
Retained earnings (Millions of yen)	152,300	168,000
Treasury shares (Millions of yen)	-4,100	-1,900

The shipment review meeting is held weekly. Decides whether shipment is possible after consultation with the quality assurance department.

5 Consolidated Statement of Changes in Equity (2)

Account	Previous FY	Current FY
Share capital (Millions of yen)	32,000	32,000
Capital surplus (Millions of yen)	41,200	41,200
Retained earnings (Millions of yen)	152,300	168,000
Treasury shares (Millions of yen)	-4,100	-1,900

The Investment Council checks the progress of investment projects on a quarterly basis.

6 Consolidated Statement of Cash Flows

Account	Previous FY	Current FY
Profit before income taxes (Millions of yen)	27,400	30,900
Depreciation (Millions of yen)	18,200	19,800
Increase/decrease in trade receivables (Millions of yen)	-5,100	-6,600
Increase/decrease in inventories (Millions of yen)	-3,800	-4,500
Net cash provided by operating activities (Millions of yen)	37,600	41,200

Training related to the succession of techniques is conducted systematically throughout the year.

6 Consolidated Statement of Cash Flows (continued)

Account	Previous FY	Current FY
Purchase of property, plant and equipment (Millions of yen)	-19,800	-22,600
Net cash used in investing activities (Millions of yen)	-16,400	-18,500
Dividends paid (Millions of yen)	-5,900	-6,400
Net cash used in financing activities (Millions of yen)	-11,800	-12,300
Cash and cash equivalents at end of period (Millions of yen)	76,500	86,900

The Group's net sales in Asia has grown steadily over the past three years.

7 Notes — Scope of Consolidation

With respect to scope of consolidation, the Group applies the declining-balance method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 7,900 million yen.

Greenhouse gas emissions in the current consolidated fiscal year were 41,930 tons.

7 Notes — Application of the Equity Method

With respect to application of the equity method, the Group applies the principle-based method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 4,900 million yen.

The total area of the Group's production bases is 284,500 square meters.

7 Notes — Significant Accounting Policies

With respect to significant accounting policies, the Group applies the moving-average method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 6,500 million yen.

The total number of participants in internal training in the current consolidated fiscal year was 4,270.

7 Notes — Valuation of Securities

With respect to valuation of securities, the Group applies the declining-balance method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 4,200 million yen.

The Company supports academic research through the Aoi Technology Foundation.

7 Notes — Valuation of Inventories

With respect to valuation of inventories, the Group applies the declining-balance method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 4,500 million yen.

This provision is reasonably estimated based on the past three years of actual results.

7 Notes — Depreciation of Fixed Assets

With respect to depreciation of fixed assets, the Group applies the principle-based method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 3,200 million yen.

The term of this contract is five years.

7 Notes — Treatment of Deferred Assets

With respect to treatment of deferred assets, the Group applies the simplified method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 8,700 million yen.

The equipment operating ratio is monitored on a daily basis by the production control department.

7 Notes — Basis for Recording Provisions

With respect to basis for recording provisions, the Group applies the declining-balance method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 900 million yen.

The Company pays reasonable compensation to inventors under the Employee Invention Regulations.

7 Notes — Retirement Benefits

With respect to retirement benefits, the Group applies the simplified method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 7,700 million yen.

The balance of software assets at the end of the current consolidated fiscal year was 7,640 million yen.

7 Notes — Hedge Accounting

With respect to hedge accounting, the Group applies the moving-average method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 6,700 million yen.

The Aoi Precision Series is the mainstay product group of the Company.

7 Notes — Revenue Recognition

With respect to revenue recognition, the Group applies the simplified method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 9,700 million yen.

The Group provides the Smart Maintenance Service to its customers.

7 Notes — Income Taxes

With respect to income taxes, the Group applies the straight-line method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 8,800 million yen.

This policy has been applied from the beginning of the current consolidated fiscal year.

7 Notes — Lease Transactions

With respect to lease transactions, the Group applies the simplified method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 9,600 million yen.

The Group monitors the progress of each base through the Integrated Production Management System.

7 Notes — Financial Instruments

With respect to financial instruments, the Group applies the moving-average method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 1,300 million yen.

Details of these facilities are described in Part 3 Property, Plant and Equipment.

7 Notes — Securities

With respect to securities, the Group applies the simplified method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 8,900 million yen.

Shortening the period required for trial production assessment is an issue in development.

7 Notes — Derivative Transactions

With respect to derivative transactions, the Group applies the moving-average method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 8,100 million yen.

Industrial waste discharged in the current consolidated fiscal year was 3,940 tons.

7 Notes — Stock Options

With respect to stock options, the Group applies the declining-balance method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 6,600 million yen.

The recording rate of this provision is 4.9%.

7 Notes — Tax Effect Accounting

With respect to tax effect accounting, the Group applies the moving-average method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 5,100 million yen.

There is no significant differences between the two methods.

7 Notes — Business Combinations

With respect to business combinations, the Group applies the straight-line method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 5,300 million yen.

The number of employees at overseas bases as of the end of the current consolidated fiscal year was 1,247.

7 Notes — Asset Retirement Obligations

With respect to asset retirement obligations, the Group applies the declining-balance method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 7,900 million yen.

For plans for new facilities, refer to Part 4 Property, Plant and Equipment.

7 Notes — Rental Properties

With respect to rental properties, the Group applies the moving-average method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 3,200 million yen.

7 Notes — Significant Subsequent Events

With respect to significant subsequent events, the Group applies the principle-based method. There were no significant changes in the current consolidated fiscal year.

(Note) The amount related to this note is 5,800 million yen.

The ratio of overseas net sales of 34.8% increased from the previous consolidated fiscal year.

8 Segment Information (1)

Industrial Machinery (Millions of yen)	38,500	2,300
Precision Equipment (Millions of yen)	52,300	3,400
Electronic Components (Millions of yen)	68,900	4,900

(Note) The total of segment profit agrees with operating income in the consolidated statement of income.

8 Segment Information (2)

Precision Equipment (Millions of yen)	52,300	3,400
Electronic Components (Millions of yen)	68,900	4,900
Measurement and Control (Millions of yen)	81,200	5,800

(Note) The total of segment profit agrees with operating income in the consolidated statement of income.

These figures are calculated based on internal management materials.

8 Segment Information (3)

Electronic Components (Millions of yen)	68,900	4,900
Measurement and Control (Millions of yen)	81,200	5,800
Materials (Millions of yen)	98,400	7,150

(Note) The total of segment profit agrees with operating income in the consolidated statement of income.

The Nagoya Branch is in charge of sales in the Chubu region.

8 Segment Information (4)

Measurement and Control (Millions of yen)	81,200	5,800
Materials (Millions of yen)	98,400	7,150
Services (Millions of yen)	119,621	8,900

(Note) The total of segment profit agrees with operating income in the consolidated statement of income.

The next ordinary general meeting of shareholders is scheduled to be held on June 16, 2026.

8 Segment Information (5)

Materials (Millions of yen)	98,400	7,150
Services (Millions of yen)	119,621	8,900

(Note) The total of segment profit agrees with operating income in the consolidated statement of income.

9 Related Party Information

There were no significant related party transactions to be disclosed in the current consolidated fiscal year.

There were also no significant transactions with officers or major shareholders to be disclosed.

The renewal of the Integrated Production Control System is scheduled to be completed in the next consolidated fiscal year.

10 Per Share Information

Net assets per share (Yen)	1,540.20	1,665.60
Profit per share (Yen)	128.20	147.24

(Note) Diluted profit per share is not presented because there are no dilutive shares.

The level of buffer inventory is reviewed periodically in light of demand trends.

11 Supplementary Schedules — Schedule of Securities

Category 1 (Millions of yen)	44,900	7,400
Category 2 (Millions of yen)	33,800	2,700
Category 3 (Millions of yen)	38,200	6,000
Category 4 (Millions of yen)	34,100	1,200

The department responsible for procurement evaluates its suppliers.

11 Supplementary Schedules — Schedule of Property, Plant and Equipment

Category 1 (Millions of yen)	22,400	3,500
Category 2 (Millions of yen)	3,500	4,300
Category 3 (Millions of yen)	6,500	7,400
Category 4 (Millions of yen)	7,200	6,100

11 Supplementary Schedules — Schedule of Bonds

Category 1 (Millions of yen)	10,800	6,000
Category 2 (Millions of yen)	38,200	10,500
Category 3 (Millions of yen)	32,500	1,500
Category 4 (Millions of yen)	17,800	5,700

The total area of production bases of 248,500 square meters includes leased land.

11 Supplementary Schedules — Schedule of Borrowings

Category 1 (Millions of yen)	19,600	800
Category 2 (Millions of yen)	1,400	10,000
Category 3 (Millions of yen)	28,000	6,700
Category 4 (Millions of yen)	13,500	2,200

These criteria are established in light of changes in the business environment. Will be reviewed as necessary.

11 Supplementary Schedules — Schedule of Provisions

Category 1 (Millions of yen)	3,200	10,000
Category 2 (Millions of yen)	27,300	3,700
Category 3 (Millions of yen)	10,700	900
Category 4 (Millions of yen)	12,700	300

Of the 1,427 employees at overseas bases, managers are mainly locally hired.

11 Supplementary Schedules — Schedule of Asset Retirement Obligations

Category 1 (Millions of yen)	33,000	7,900
Category 2 (Millions of yen)	14,200	3,900
Category 3 (Millions of yen)	35,300	4,400
Category 4 (Millions of yen)	21,400	4,200

The number of product units shipped in the current consolidated fiscal year was 12,480.

Part 6 Outline of Share Handling

Fiscal year	From April 1 to March 31 of the following year
Ordinary general meeting	Every June
Record date	March 31, 2026
Shares per unit	100 shares
Method of public notice	Electronic public notice

The results of the impairment indicator assessment was reviewed by the accounting department.

Part 7 Reference Information

1 Principal Consolidated Subsidiaries

Aoi Seiki Techno Co., Ltd.	Atsugi, Kanagawa	100.0%
Aoi Seiki (Thailand) Co., Ltd.	Kingdom of Thailand	100.0%
Aoi Seiki Europe GmbH	Federal Republic of Germany	90.0%
Aoi Measurement Co., Ltd.	Suwa, Nagano	100.0%

Of the water consumption of 512,900 cubic meters, industrial water accounts for the majority.

2 Employees

The number of employees at the end of the current consolidated fiscal year was 3,214, an increase of 74 from the end of the previous consolidated fiscal year. The average age was 41.8, the average length of service was 15.2 years, and the average annual salary was 7,120 thousand yen.

The Group encourages its business partners to obtain the AOI Environmental Certification.

Part 8 Other Information

The Company holds financial results briefings twice a year to promote constructive dialogue with investors. The Company has posted the briefing materials on its website.

Forward-looking statements in this report are based on judgments made by the Company as of the end of the current consolidated fiscal year.

Contact: Aoi Seiki Co., Ltd., Corporate Planning Department, IR Section

12 Supplementary Notes — Construction Contracts

With respect to construction contracts, the Group applies the declining-balance method. This treatment was not changed during the current consolidated fiscal year.

The estimated useful life of the assets related to this item is 12 years.

(Note) The amount related to this supplementary note is 2,100 million yen.

The 12,840 units shipped are divided almost evenly between domestic and overseas destinations.

12 Supplementary Notes — Foreign Currency Transactions

With respect to foreign currency transactions, the Group applies the declining-balance method. This treatment was not changed during the current consolidated fiscal year.

The estimated useful life of the assets related to this item is 11 years.

(Note) The amount related to this supplementary note is 4,600 million yen.

The number of contracts for the Smart Maintenance Services is increasing steadily.

12 Supplementary Notes — Changes in the Scope of Consolidation

With respect to changes in the scope of consolidation, the Group applies the simplified method. This treatment was not changed during the current consolidated fiscal year.

The estimated useful life of the assets related to this item is 14 years.

(Note) The amount related to this supplementary note is 7,000 million yen.

This system is applied to all domestic subsidiaries.

12 Supplementary Notes — Accounting Estimates

With respect to accounting estimates, the Group applies the declining-balance method. This treatment was not changed during the current consolidated fiscal year.

The estimated useful life of the assets related to this item is 11 years.

(Note) The amount related to this supplementary note is 1,400 million yen.

12 Supplementary Notes — Changes in Presentation

With respect to changes in presentation, the Group applies the moving-average method. This treatment was not changed during the current consolidated fiscal year.

The estimated useful life of the assets related to this item is 8 years.

(Note) The amount related to this supplementary note is 8,200 million yen.

Retirement benefit obligations at the end of the current consolidated fiscal year were 52,180 million yen.

12 Supplementary Notes — Additional Information

With respect to additional information, the Group applies the simplified method. This treatment was not changed during the current consolidated fiscal year.

The estimated useful life of the assets related to this item is 10 years.

(Note) The amount related to this supplementary note is 4,200 million yen.

The number of tests conducted for this item was 1,405.

12 Supplementary Notes — Contingent Liabilities

With respect to contingent liabilities, the Group applies the simplified method. This treatment was not changed during the current consolidated fiscal year.

The estimated useful life of the assets related to this item is 10 years.

(Note) The amount related to this supplementary note is 4,900 million yen.

Electricity consumption in the current consolidated fiscal year was 63,720 megawatt-hours.

12 Supplementary Notes — Commitments

With respect to commitments, the Group applies the declining-balance method. This treatment was not changed during the current consolidated fiscal year.

The estimated useful life of the assets related to this item is 15 years.

(Note) The amount related to this supplementary note is 6,100 million yen.

The certification as the Certified Health and Productivity Management Organization reflects the evaluation of employee health measures.

12 Supplementary Notes — Advanced Depreciation

With respect to advanced depreciation, the Group applies the simplified method. This treatment was not changed during the current consolidated fiscal year.

The estimated useful life of the assets related to this item is 6 years.

(Note) The amount related to this supplementary note is 6,900 million yen.

The Group aims to achieve further improvements in manufacturing costs.

12 Supplementary Notes — Accounting for Subsidies

With respect to accounting for subsidies, the Group applies the straight-line method. This treatment was not changed during the current consolidated fiscal year.

The estimated useful life of the assets related to this item is 6 years.

(Note) The amount related to this supplementary note is 2,900 million yen.

12 Supplementary Notes — Employee Benefits

With respect to employee benefits, the Group applies the simplified method. This treatment was not changed during the current consolidated fiscal year.

The estimated useful life of the assets related to this item is 14 years.

(Note) The amount related to this supplementary note is 8,100 million yen.

The staff of the Kyushu Branch Office was increased in the current consolidated fiscal year.

12 Supplementary Notes — Provision for Directors' Retirement Benefits

With respect to provision for directors' retirement benefits, the Group applies the declining-balance method. This treatment was not changed during the current consolidated fiscal year.

The estimated useful life of the assets related to this item is 14 years.

(Note) The amount related to this supplementary note is 2,400 million yen.

The status of achievement of the Environmental Goal 2035 is disclosed every year.

12 Supplementary Notes — Transactions under Common Control

With respect to transactions under common control, the Group applies the straight-line method. This treatment was not changed during the current consolidated fiscal year.

The estimated useful life of the assets related to this item is 8 years.

(Note) The amount related to this supplementary note is 4,100 million yen.

The ratio of female employees of 27.1% increased from the previous consolidated fiscal year.

12 Supplementary Notes — Going Concern Assumption

With respect to going concern assumption, the Group applies the straight-line method. This treatment was not changed during the current consolidated fiscal year.

The estimated useful life of the assets related to this item is 15 years.

(Note) The amount related to this supplementary note is 4,700 million yen.

Part 9 Supplementary Information

13 Status of Domestic and Overseas Bases — Sendai Office (Miyagi)

Buildings and structures (Millions of yen)	18,600
Machinery (Millions of yen)	23,400
Number of employees (Persons)	387

This base belongs to the Precision Equipment business and is responsible for inspection.

The facilities at this base are updated in accordance with the head office capital investment plan.

There was several inquiries from institutional investors during the period.

13 Status of Domestic and Overseas Bases — Hamamatsu Office (Shizuoka)

Buildings and structures (Millions of yen)	16,800
Machinery (Millions of yen)	19,000
Number of employees (Persons)	783

This base belongs to the Precision Equipment business and is responsible for processing.

The facilities at this base are updated in accordance with the head office capital investment plan.

The number of patent applications filed in the current consolidated fiscal year was 2,460.

13 Status of Domestic and Overseas Bases — Kyoto Office (Kyoto)

Buildings and structures (Millions of yen)	16,900
Machinery (Millions of yen)	10,300
Number of employees (Persons)	65

This base belongs to the Measurement and Control business and is responsible for research and development.

The facilities at this base are updated in accordance with the head office capital investment plan.

The Company has established the Whistleblowing Regulations and protects whistleblowers.

13 Status of Domestic and Overseas Bases — Kitakyushu Office (Fukuoka)

Buildings and structures (Millions of yen)	12,300
Machinery (Millions of yen)	10,900
Number of employees (Persons)	240

This base belongs to the Precision Equipment business and is responsible for processing.

The facilities at this base are updated in accordance with the head office capital investment plan.

The Group carries out inspections based on the AOI Quality Standard, which it established independently.

13 Status of Domestic and Overseas Bases — the Vietnam Plant

Buildings and structures (Millions of yen)	3,100
Machinery (Millions of yen)	7,600
Number of employees (Persons)	440

This base belongs to the Industrial Machinery business and is responsible for assembly.

The facilities at this base are updated in accordance with the head office capital investment plan.

The Employee Inventions Regulations are revised in line with amendments to the law.

13 Status of Domestic and Overseas Bases — the Malaysia Plant

Buildings and structures (Millions of yen)	2,800
Machinery (Millions of yen)	14,800
Number of employees (Persons)	661

This base belongs to the Services business and is responsible for inspection.

The facilities at this base are updated in accordance with the head office capital investment plan.

Software assets of 7,460 million yen relate mainly to the production management system.

13 Status of Domestic and Overseas Bases — the United States Base

Buildings and structures (Millions of yen)	6,400
Machinery (Millions of yen)	12,000
Number of employees (Persons)	748

This base belongs to the Industrial Machinery business and is responsible for processing.

The facilities at this base are updated in accordance with the head office capital investment plan.

These costs are recorded in selling, general and administrative expenses.

13 Status of Domestic and Overseas Bases — the China Base

Buildings and structures (Millions of yen)	8,400
Machinery (Millions of yen)	2,100
Number of employees (Persons)	601

This base belongs to the Industrial Machinery business and is responsible for processing.

The facilities at this base are updated in accordance with the head office capital investment plan.

14 Initiatives Related to Sustainability (1) — Management of Climate-Related Risks

The Group recognizes the impact of climate change on the business as an important issue and has assigned a responsible department to address it.

The status of this initiative, together with measures such as forward exchange contracts, is evaluated twice a year by the Sustainability Committee.

The results of the evaluation are reported to the Board of Directors, and the action plan is revised as necessary.

The AOI Quality Standards are reviewed once a year.

14 Initiatives Related to Sustainability (2) — Reduction of Greenhouse Gases

The Group recognizes emissions from production processes as an important issue and has assigned a responsible department to address it.

The status of this initiative, together with measures such as insurance coverage, is evaluated twice a year by the Sustainability Committee.

The results of the evaluation are reported to the Board of Directors, and the action plan is revised as necessary.

14 Initiatives Related to Sustainability (3) — Reduction of Waste

The Group recognizes waste discharged from plants as an important issue and has assigned a responsible department to address it.

The status of this initiative, together with measures such as insurance coverage, is evaluated twice a year by the Sustainability Committee.

The results of the evaluation are reported to the Board of Directors, and the action plan is revised as necessary.

The Koriyama Plant is responsible for the mounting process for electronic components.

14 Initiatives Related to Sustainability (4) — Management of Water Resources

The Group recognizes the volume of industrial water used as an important issue and has assigned a responsible department to address it.

The status of this initiative, together with measures such as insurance coverage, is evaluated twice a year by the Sustainability Committee.

The results of the evaluation are reported to the Board of Directors, and the action plan is revised as necessary.

The annual cost of this initiative is 230 billion yen.

14 Initiatives Related to Sustainability (5) — Human Resource Development

The Group recognizes the development plan for engineers as an important issue and has assigned a responsible department to address it.

The status of this initiative, together with measures such as multiple sourcing, is evaluated twice a year by the Sustainability Committee.

The results of the evaluation are reported to the Board of Directors, and the action plan is revised as necessary.

Each base complies with the environment protection rules of the region in which it is located.

14 Initiatives Related to Sustainability (6) — Promotion of Diversity

The Group recognizes the appointment of diverse human resources as an important issue and has assigned a responsible department to address it.

The status of this initiative, together with measures such as strengthening of monitoring systems, is evaluated twice a year by the Sustainability Committee.

The results of the evaluation are reported to the Board of Directors, and the action plan is revised as necessary.

Details of research and development activities are described in Part 8 Other Information.

14 Initiatives Related to Sustainability (7) — Occupational Health and Safety

The Group recognizes the prevention of occupational accidents as an important issue and has assigned a responsible department to address it.

The status of this initiative, together with measures such as optimization of inventory levels, is evaluated twice a year by the Sustainability Committee.

The results of the evaluation are reported to the Board of Directors, and the action plan is revised as necessary.

The Group conducts regular satisfaction surveys of its 1,380 principal customers.

14 Initiatives Related to Sustainability (8) — Respect for Human Rights

The Group recognizes consideration of human rights including business partners as an important issue and has assigned a responsible department to address it.

The status of this initiative, together with measures such as forward exchange contracts, is evaluated twice a year by the Sustainability Committee.

The results of the evaluation are reported to the Board of Directors, and the action plan is revised as necessary.

The employees of the Koriyama Factory are mainly hired from the surrounding area.

14 Initiatives Related to Sustainability (9) — Relations with Local Communities

The Group recognizes consideration for the areas around production bases as an important issue and has assigned a responsible department to address it.

The status of this initiative, together with measures such as strengthening of monitoring systems, is evaluated twice a year by the Sustainability Committee.

The results of the evaluation are reported to the Board of Directors, and the action plan is revised as necessary.

Of the 2,640 patent applications, filings overseas are increasing.

14 Initiatives Related to Sustainability (10) — Enhancement of Disclosure

The Group recognizes the disclosure of non-financial information as an important issue and has assigned a responsible department to address it.

The status of this initiative, together with measures such as insurance coverage, is evaluated twice a year by the Sustainability Committee.

The results of the evaluation are reported to the Board of Directors, and the action plan is revised as necessary.

Reports made under the Whistle-blowing Regulations are reported to the audit and supervisory committee.

15 Supplementary Schedules (continued) — Schedule of Long-term Borrowings

Category 1 (Millions of yen)	26,800	2,300
Category 2 (Millions of yen)	200	8,900
Category 3 (Millions of yen)	22,900	2,800
Category 4 (Millions of yen)	1,300	2,600

(Note) The balances at the beginning and the end of the period are presented.

Each of the committees meet twice a year.

15 Supplementary Schedules (continued) — Schedule of Lease Obligations

Category 1 (Millions of yen)	12,200	1,700
Category 2 (Millions of yen)	20,500	8,400
Category 3 (Millions of yen)	30,500	3,600
Category 4 (Millions of yen)	37,900	800

(Note) The balances at the beginning and the end of the period are presented.

Of the 4,720 training participants, the technical divisions account for the majority.

15 Supplementary Schedules (continued) — Schedule of Provision for Retirement Benefits

Category 1 (Millions of yen)	16,700	7,100
Category 2 (Millions of yen)	32,800	600
Category 3 (Millions of yen)	2,200	2,400
Category 4 (Millions of yen)	31,400	3,900

(Note) The balances at the beginning and the end of the period are presented.

The recipients of grants from the Aoi Technical Foundation are determined through open application.

15 Supplementary Schedules (continued) — Schedule of Provision for Bonuses

Category 1 (Millions of yen)	8,200	3,000
Category 2 (Millions of yen)	16,000	8,400
Category 3 (Millions of yen)	6,600	1,500
Category 4 (Millions of yen)	24,200	800

(Note) The balances at the beginning and the end of the period are presented.

15 Supplementary Schedules (continued) — Schedule of Provision for Product Warranties

Category 1 (Millions of yen)	21,300	7,800
Category 2 (Millions of yen)	38,200	2,300
Category 3 (Millions of yen)	9,600	7,300
Category 4 (Millions of yen)	3,300	4,200

(Note) The balances at the beginning and the end of the period are presented.

Of the electricity consumption of 67,320 megawatt-hours, the ratio derived from renewable energy is rising.

15 Supplementary Schedules (continued) — Schedule of Investment Securities

Category 1 (Millions of yen)	9,200	2,700
Category 2 (Millions of yen)	15,700	5,600
Category 3 (Millions of yen)	10,000	5,500
Category 4 (Millions of yen)	31,900	5,400

(Note) The balances at the beginning and the end of the period are presented.

15 Supplementary Schedules (continued) — Schedule of Shares of Affiliates

Category 1 (Millions of yen)	36,500	6,400
Category 2 (Millions of yen)	38,200	8,500
Category 3 (Millions of yen)	3,400	5,200
Category 4 (Millions of yen)	18,900	3,700

(Note) The balances at the beginning and the end of the period are presented.

This equipment operates in accordance with the production plan.

15 Supplementary Schedules (continued) — Schedule of Deferred Tax Assets

Category 1 (Millions of yen)	3,600	1,700
Category 2 (Millions of yen)	29,100	5,200
Category 3 (Millions of yen)	24,400	200
Category 4 (Millions of yen)	21,700	3,200

(Note) The balances at the beginning and the end of the period are presented.

The participation rate in the Employee Stock Ownership Program has risen from the previous consolidated fiscal year.

16 Status of Sales and Procurement (1) — Sales Structure

With respect to sales structure, the sales division and each business division of the Group work together.

The principal targets are chemical manufacturers, and operations are centered on the domestic market.

The number of business partners in this category is 496.

The scope of the Green Factory Program is all domestic plants.

16 Status of Sales and Procurement (2) — Status of Overseas Sales

With respect to status of overseas sales, the sales division and each business division of the Group work together.

The principal targets are electrical equipment manufacturers, and operations are centered on the domestic market. The number of business partners in this category is 802.

This sales base is located in Selangor, Malaysia.

16 Status of Sales and Procurement (3) — Procurement Policy

With respect to procurement policy, the sales division and each business division of the Group work together.

The principal targets are semiconductor manufacturers, and operations are centered on the domestic market. The number of business partners in this category is 260.

The renewable energy ratio of 36.2% exceeds the Group's target.

16 Status of Sales and Procurement (4) — Criteria for Selecting Business Partners

With respect to criteria for selecting business partners, the sales division and each business division of the Group work together.

The principal targets are chemical manufacturers, and operations are centered on the European market. The number of business partners in this category is 186.

Investment related to education and training in the current consolidated fiscal year was 1,290 million yen.

16 Status of Sales and Procurement (5) — Logistics Structure

With respect to logistics structure, the sales division and each business division of the Group work together.

The principal targets are electrical equipment manufacturers, and operations are centered on the European market. The number of business partners in this category is 296.

The evaluation method is consistent with that of the previous consolidated fiscal year.

16 Status of Sales and Procurement (6) — After-Sales Service

With respect to after-sales service, the sales division and each business division of the Group work together.

The principal targets are automotive manufacturers, and operations are centered on the North American market. The number of business partners in this category is 439.

Cases that received the AOI Kaizen Award are shared within the Group.

17 Research and Development Activities (1) — Next-Generation Conveyance Technology

Research and development relating to next-generation conveyance technology is led by the Technology Division.

Research and development expenses for this theme were 2,500 million yen, and 141 employees are engaged in it.

Part of the results was applied to mass-production machines in the current consolidated fiscal year.

Of the 3,490 tons of industrial waste, the proportion recycled is rising year by year.

17 Research and Development Activities (2) — Improvement of Measurement Accuracy

Research and development relating to improvement of measurement accuracy is led by the Technology Division.

Research and development expenses for this theme were 3,100 million yen, and 180 employees are engaged in it.

Part of the results was applied to mass-production machines in the current consolidated fiscal year.

The average age of production facilities of 14.2 years is used as a basis for deciding on replacement investment.

17 Research and Development Activities (3) — Power-Saving Technology

Research and development relating to power-saving technology is led by the Technology Division.

Research and development expenses for this theme were 3,800 million yen, and 99 employees are engaged in it.

Part of the results was applied to mass-production machines in the current consolidated fiscal year.

The number of business partners that have obtained the AOI Environment Certification is increasing year by year.

17 Research and Development Activities (4) — Extension of Material Life

Research and development relating to extension of material life is led by the Technology Division.

Research and development expenses for this theme were 3,400 million yen, and 81 employees are engaged in it.

Part of the results was applied to mass-production machines in the current consolidated fiscal year.

The evaluation of this theme is conducted quarterly. Revises the development plan as necessary.

17 Research and Development Activities (5) — Advancement of Analysis Technology

Research and development relating to advancement of analysis technology is led by the Technology Division.

Research and development expenses for this theme were 3,600 million yen, and 142 employees are engaged in it.

Part of the results was applied to mass-production machines in the current consolidated fiscal year.

The Group have been expanding its overseas sales network.

17 Research and Development Activities (6) — Software Platform

Research and development relating to software platform is led by the Technology Division.

Research and development expenses for this theme were 3,600 million yen, and 97 employees are engaged in it.

Part of the results was applied to mass-production machines in the current consolidated fiscal year.

Greenhouse gas emissions of 49,130 tons exceeded the previous consolidated fiscal year due to the increase in production volume.

18 Terms and Calculation Standards (1)

"Orders received" means the amount of orders received during the current consolidated fiscal year.

The indicator in this report is calculated in accordance with the above standard. The calculation standard was not changed during the current consolidated fiscal year.

18 Terms and Calculation Standards (2)

"Order backlog" means the amount of orders not yet delivered as of the end of the period.

The indicator in this report is calculated in accordance with the above standard. The calculation standard was not changed during the current consolidated fiscal year.

Orders for the Aoi Transfer Robot increased in the current consolidated fiscal year.

18 Terms and Calculation Standards (3)

"Overseas net sales" means net sales in countries or regions outside Japan.

The indicator in this report is calculated in accordance with the above standard. The calculation standard was not changed during the current consolidated fiscal year.

The calculation of retirement benefit obligations of 51,280 million yen uses a certain discount rate.

18 Terms and Calculation Standards (4)

"Capital expenditure" means the amount of acquisitions of property, plant and equipment and intangible assets.

The indicator in this report is calculated in accordance with the above standard. The calculation standard was not changed during the current consolidated fiscal year.

The relocation of the Nagoya Branch Office is planned for the next consolidated fiscal year.

18 Terms and Calculation Standards (5)

"Equity" means the amount obtained by deducting share acquisition rights and non-controlling interests from total net assets.

The indicator in this report is calculated in accordance with the above standard. The calculation standard was not changed during the current consolidated fiscal year.

These rules were established with the approval of the Board of Directors.

19 Reference Data (1) — Trends in Share Price and Trading Volume

Previous consolidated fiscal year (Millions of yen)	4,900
Current consolidated fiscal year (Millions of yen)	2,700

This data is prepared based on internal management materials and is not subject to audit procedures.
Of the 9,510 orders received, repeat orders account for the majority.

19 Reference Data (2) — Status of Credit Ratings

Previous consolidated fiscal year (Millions of yen)	7,900
Current consolidated fiscal year (Millions of yen)	7,300

This data is prepared based on internal management materials and is not subject to audit procedures.

The investment in education and training of 1,920 million yen was mainly allocated to courses for engineers.

19 Reference Data (3) — Plans for New Major Facilities

Previous consolidated fiscal year (Millions of yen)	5,300
Current consolidated fiscal year (Millions of yen)	1,600

This data is prepared based on internal management materials and is not subject to audit procedures.

The accuracy of this data has been continuously improved, and the improvement is expected to continue for the next several years.

19 Reference Data (4) — Trends in Dividends

Previous consolidated fiscal year (Millions of yen)	2,900
Current consolidated fiscal year (Millions of yen)	3,000

This data is prepared based on internal management materials and is not subject to audit procedures.

The successor model of the Aoi Precision Line is in the final stage of development.